D02 · S&OP; / IBP Governance

02 · Integrated Business Planning (IBP) & financial bridge

Supply Chain Reference Architecture v2.2 · mrsupplychain.ai

1 WHAT IT IS

IBP extends S&OP into a financially reconciled plan: the operational plan in units is translated into revenue, cost, and margin, bridged to the financial forecast and the annual budget, so that one plan drives both the supply chain and the P&L instead of operations and finance running parallel, disconnected numbers.

2 WHY IT MATTERS

Oliva & Watson 2011 **(Oliva & Watson, 2011 — peer-reviewed)** showed, in a detailed field study, that the benefit of integrated planning comes from cross-functional alignment on a single set of numbers — and that the alignment, not the forecasting accuracy, drives performance. When the operational plan is never translated into money, finance builds its forecast top-down from targets while operations plans bottom-up from demand, and the two never meet. The organization then has two truths: a unit plan the supply chain executes and a financial plan leadership is measured on. The gap between them **commonly runs 10–20% at the revenue line** and surfaces as quarter-end surprises that no operational review predicted.

3 HOW IT IS DONE

1. **Translate the unit plan into money at the same granularity.** Map volume to revenue, cost, and margin using current price and cost master data — not annualized averages. The bridge is only as honest as the price/cost data behind it.
2. **Build the bridge from last plan to this plan, in dollars.** Decompose the change into volume, mix, price, and cost effects. A financial bridge that cannot explain why the number moved is a number swap, not a reconciliation.
3. **Reconcile to the financial forecast and the budget.** Surface the gap between the operationally-driven plan and finance's forecast explicitly, and resolve it in the IBP cycle — do not let the two numbers coexist unreconciled into the quarter.
4. **Carry the gap to target as a managed item.** When the bottom-up plan falls short of the financial target, the shortfall becomes an explicit gap with owned closure actions — new demand, cost levers, pricing — not an aspiration pasted over the plan.
5. **Extend the horizon to 18–24 months.** IBP plans far enough out to inform capacity, capital, and budget decisions, not just near-term execution. A horizon shorter than the budget cycle cannot bridge to the budget.
6. **Make the CFO a standing participant.** The financial bridge only holds if finance owns its side of it. Without finance in the room committing to the reconciled number, IBP collapses back into operations talking to itself in dollars.

> **WORKED EXAMPLE — ILLUSTRATIVE**
>
> A consumer-goods company ran S&OP in units and a separate financial forecast — **baseline: revenue-line gap between operational plan and finance forecast averaging 16%, recurring quarter-end misses, capacity decisions made on the wrong number**. It built a unit-to-dollar bridge, reconciled to budget monthly, and seated the CFO in the executive step. Results: **plan-to-forecast revenue gap 16% -> 5%, quarter-end surprises largely eliminated, and capital decisions tied to one agreed 18-month plan**.

IN PRACTICE

Finance as a co-owner, not a recipient

Seat finance in every step, with the CFO or a delegate committing to the reconciled number in the executive meeting. IBP fails wherever finance treats the output as a report to receive rather than a plan to own. Shared ownership of one number is the entire point.

Consistent price/cost master data

The bridge requires one agreed source for prices, standard costs, and margins, refreshed on a known cadence. Divergent finance and operations cost bases are the most common reason a bridge fails to reconcile — fix the data before blaming the plan.

Rolling 18–24 month horizon

Plan on a rolling horizon long enough to inform capacity and budget, refreshed every cycle rather than reset annually. A rolling horizon keeps the plan and the budget in continuous contact instead of meeting once a year in a painful reconciliation.

Bridge variance review each cycle

Each cycle reviews where the prior bridge proved wrong — which volume, mix, price, or cost assumption broke. This turns the bridge into a learning instrument and steadily improves the trust between operations and finance that makes IBP function.

WHAT YOU WOULD USE

IBP / FINANCIAL-RECONCILIATION PLATFORMS

SAP IBP / o9 — enterprise tier-1 — Native unit-to-financial reconciliation, multi-currency bridges, and a shared data model across demand, supply, and finance. **(SAP, o9 — vendor)** The choice when the financial bridge must reconcile at scale and tie directly to the corporate planning stack.

Anaplan / Board — connected planning — Flexible connected-planning platforms strong at the finance-operations bridge and gap-to-target modeling. **(Anaplan, Board — vendor)** A strong fit where the financial reconciliation, not the supply math, is the binding constraint.

EPM / FP&A specialists — Enterprise performance management tools that own the budget and forecast side of the bridge. **(specialized EPM vendors — vendor)** The vertical option when IBP must integrate tightly with an existing FP&A toolchain.

For operations that don't need a platform — A unit-to-dollar bridge workbook agreed jointly with finance, refreshed each cycle against one price/cost source. The reconciliation discipline and shared ownership matter far more than the tool — most IBP failures are organizational, not technical.

4 SO WHAT

Operations that bridge the unit plan to the P&L give leadership one number to steer by; operations that leave units and dollars disconnected hand leadership two numbers and a quarter-end surprise. The IBP gap is not a forecasting problem — it is the cost of operations and finance refusing to reconcile. Until the plan is expressed in money and owned by the CFO, the supply chain is optimizing a number the business is not measured on.

From the SCRA v2.2 reference architecture · mrsupplychain.ai · © 2026 Ismael López · Mr. Supply Chain® México